

Germany's Merz temporarily safe after CDU defeats

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Daily Brief

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summary

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Friedrich Merz will stay on as Germany's chancellor despite painful election losses, including his party's first-ever failure to clear the parliamentary threshold.

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Oil is set to trade in a \$90-\$110 range through year-end as the US-Iran standoff grinds on, with high prices not enough to force US concessions ahead of the midterms.

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A Federal Reserve review sharply critical of its own supervisory culture hands the White House a pretext to fire board member Michael Barr.

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A China-US summit is expected to deliver incremental deliverables on trade and leader-level engagement, with both sides aiming to prevent further deterioration of ties.

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Countries and sectors in this edition of the Daily Brief include the US, Brazil, China, Germany, geoeconomics, geo-technology, and oil.

the top line

Germany—Merz temporarily safe after repeat CDU election defeats

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Merz will stay on as chancellor despite the painful losses of his Christian Democrats (CDU) in two state elections on 20 September, and has tied his future to the implementation of key national reforms.

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In Mecklenburg-Western Pomerania, the CDU failed to clear the 5% threshold for the first time in post-war history, while the far-right AfD came out strongest at 38.2%, but remains with no path to power.

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In Berlin, a rejuvenated Left Party scored a strong victory, while the Social Democrats (SPD) came in last in their traditional stronghold, likely leading to a Left-led government after complicated government formation.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Oil, MENA Crisis—High oil prices likely throughout 2026 as US-Iran standoff endures

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Oil prices are likely to trade in a \$90-\$110 band for Brent through the rest of 2026 as the US and Iran continue their standoff.

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Skyrocketing fuel prices aren't enough to force US concessions to Iran ahead of November's midterm elections, while significant military escalation remains unattractive given the risks of Iranian retaliation.

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Iran will manage the US pressure campaign as it continues its attritional strategy, utilizing proxies and tanker attacks to push up prices, in the hope the US blinks first.

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Read more here and read the conference call notes here . Reach out to discuss: ecr@eurasiagroup.net .

US, Geoeconomics—Fed report sets up pretext for White House to fire Barr

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Federal Reserve Vice Chair for Supervision Michelle Bowman's release of an external review of the 2023 Silicon Valley Bank collapse, sharply critical of the Fed's supervisory culture, hands the White House a pretext to fire board member Michael Barr.

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We put 70% odds on the White House firing Barr, a long-standing White House target, within the next several weeks. Bowman's timing, ahead of a promised year-end deadline, likely triggers a push to create and fill a vacancy this Congress. Barr will likely fight removal in court, potentially with Republican Senate support; the Fed has seen long-lasting vacancies before.

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This firing would carry more legitimacy than the ouster of Fed Governor Lisa Cook; the case targets actions for which Barr was directly and individually responsible. We don't expect it to alter monetary policy. A single seat rarely moves the Fed, but this removal would set a precedent likely to be repeated.

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Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

EG Update—Ian Bremmer on global actors in a new world order

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In geopolitics, three changes in the core balance of power got us here: Russia became a revisionist, risk acceptant, rogue state... China consolidated its authoritarian political system and state capitalist economy... and the US no longer embraces global leadership on collective security, free trade, or the promotion of democracy.

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Economy: Overall international trade as a percentage of global GDP has remained reasonably constant... globalization is now leaderless and rudderless.

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Tech: China is now the world's first electrostate... but long term, global energy is becoming decentralized. AI, on the other hand, is presently dominated by the United States and China and is quickly taking on the characteristics of a cold war.

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AI speed: There's all sorts of talk of a slowdown... but I don't see any such thing even beginning to happen... artificial intelligence increasingly looks like the most meaningful risk presented by the second half of President Donald Trump's administration.

For more of Ian's thoughts on AI, the Iran war, and the Canada-EU relationship, read this week's EG Update .

China, US—Summit 'success' through incremental deliverables that prevent deterioration of ties

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Senior Chinese officials indicated to EG that their top goal is advancing the leaders' personal relationship, with progress on this front to come with an announcement of leader-level attendance at APEC in November and the G20 in December, establishing a historic rhythm of top-level engagement.

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Expect some tariff reductions under the new Board of Trade framework, as well as movement towards the extension of the Busan trade truce.

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The two sides will have challenging exchanges over global hotspots, including Taiwan and Iran, but they will keep those frictions out of view.

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Read more here . Reach out to discuss: china@eurasiagroup.net .

upcoming conference calls

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22 September 10:30 AM ET—South Africa outlook. Register here .

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23 September 10:00 AM—Xi-Trump summit preview. Register here .

eg in depth

US, Brazil—Relationship likely to stabilize post-election: Bilateral tensions are likely to persist through the October elections, and Magnitsky sanctions targeting Federal Supreme Court justices remain an option, though officials in Washington still question whether the move could backfire by strengthening President Luiz Inacio Lula da Silva's position. A managed status quo remains the most probable post-election outcome, with tariffs remaining in place but tensions stabilizing, given Washington's interest in Brazilian resources (55% odds). A critical minerals deal and meaningful tariff relief if Lula is reelected remain improbable (35% odds), while sustained escalation that creates broader economic and financial risks for Brazil remains a tail risk (10% odds). Read more here . Reach out to discuss: brazil@eurasiagroup.net .

Upcoming events:

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21 September: Events: G7 ministers meet at the UN General Assembly, and Japanese stock markets close through 23 September.

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22 September: Events: UN General Assembly begins 81st annual general debate; Central bank decision: Hungary.

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23 September: Events: OECD published interim economic outlook and Morocco holds legislative elections; Data: Eurozone, UK, and US S&P and India HSBC manufacturing PMI, Russia and Taiwan IP.

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24 September: Events: Chinese President Xi Jinping visits the US for talks with Trump; Central bank decisions: Egypt, Ghana, Mexico, Norway, Sweden, and Switzerland.

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25 September: Data: US University of Michigan consumer sentiment.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

“What needs to be done requires backbone, steadfastness, and patience. I will demonstrate this as the CDU’s party leader and, especially, as our country’s chancellor.” —Merz said in a speech after his CDU party’s election losses on 20 September.

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